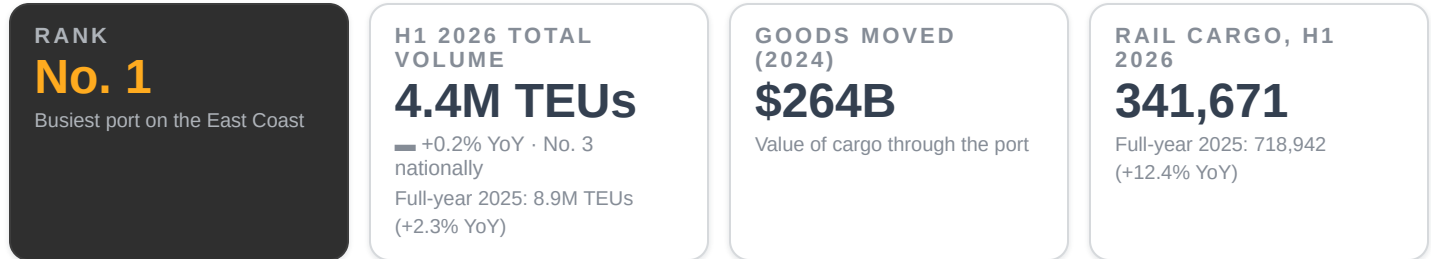


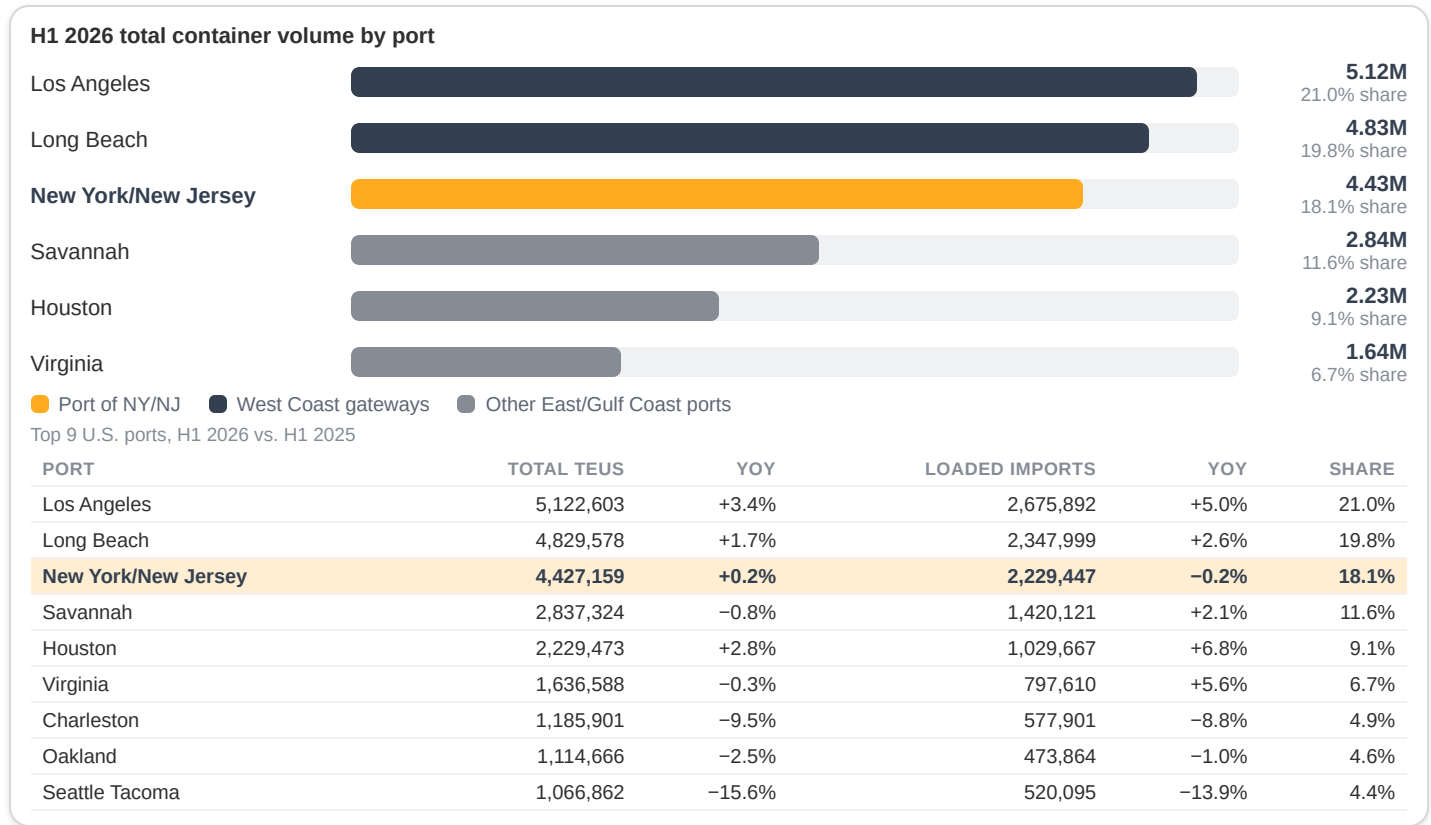
Port of NY/NJ | Why it matters to New Jersey and the region

H1 2026 volume confirms the port's scale as the East Coast's leading gateway — and its throughput is the demand engine behind New Jersey's industrial market broadly, before shallow bay even enters the picture.



A top-3 gateway, gaining loaded import share

Port of NY/NJ is 1 of only 3 U.S. ports to post more than 2.0M TEUs of loaded import cargo in H1 2026 — and holds 18.1% of top-nine-port volume.



Momentum check: full-year 2025 → H1 2026

Total volume — FY2025 8.9M TEUs (+2.3% YoY) → H1 2026 4.4M TEUs (+0.2% YoY)

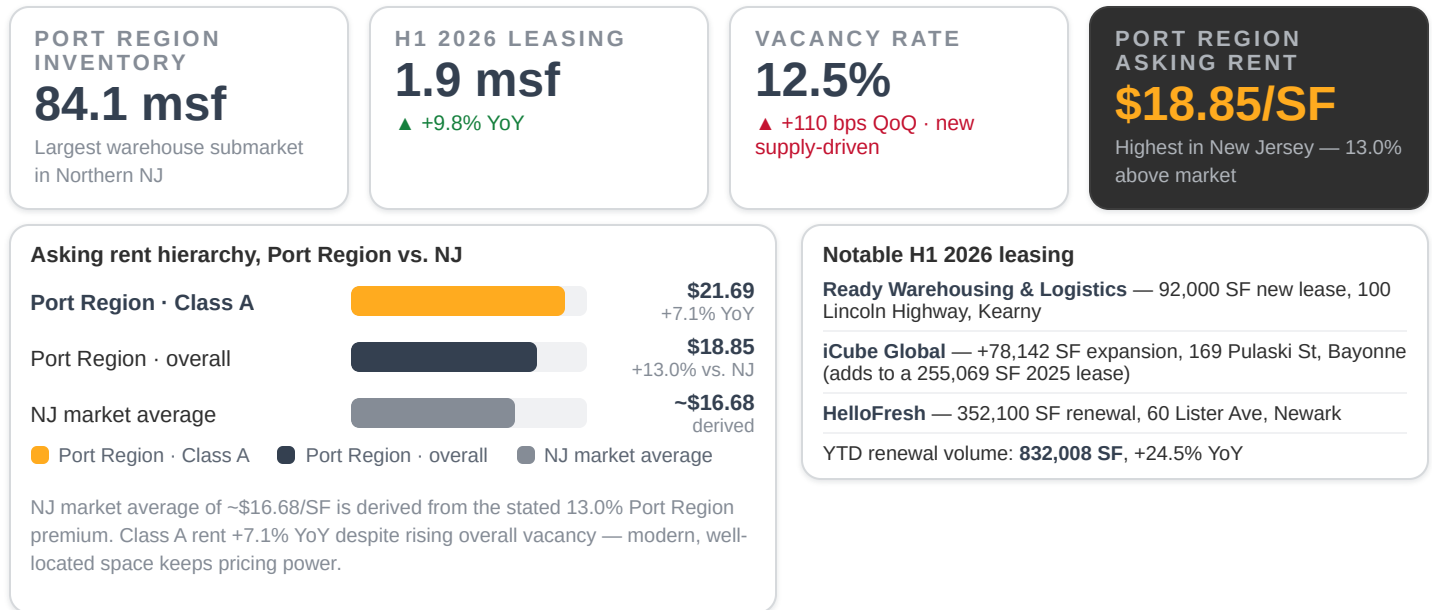
Rail cargo — FY2025 718,942 containers (+12.4% YoY) → H1 2026 341,671 containers

Port Region vacancy — FY2025 11.4% (+20 bps QoQ) → H1 2026 12.5% (+110 bps QoQ)

Deceleration, not demand loss. Container growth cooled from +2.3% (FY2025) to +0.2% (H1 2026) after 2025's tariff-driven front-loading pulled volume forward — rail cargo and Port Region leasing stayed strong, and the port still anchors 60M+ consumers within 250 miles, roughly one-third of U.S. GDP.

Port Region | How port volume becomes New Jersey industrial demand

The Port Region is the largest industrial submarket in Northern New Jersey — the clearest regional evidence of how the port's throughput converts directly into real estate demand.



THE PIVOT

Vacancy is up. Demand isn't down.

Port Region vacancy rose 110 bps this quarter — that's a big-box supply story (nearly 1.0 msf of new large-format vacant space), not a demand story: leasing is still up 9.8% YoY, and Class A rent is up 7.1%.

The next two pages show why shallow bay specifically is structurally insulated from that supply wave, and how Faropoint's own house view and 2026 acquisition record underwrite the difference.

Why shallow bay | The structural case — and where it shows up regionally

Port proximity is one input, not the whole case. Six structural drivers explain why shallow bay specifically captures a disproportionate share of port-driven demand, regardless of any single trade cycle.

1 Last-mile, not just port-adjacent

Final-mile parcel and distribution demand is driven by dense population and same-day delivery expectations — a driver independent of ocean-freight cycles.

2 Land that can't be replaced

Under-construction inventory is ~4x higher in big box (2.6% of stock) than last-mile (0.6%) — zoning and land cost structurally cap new shallow-bay supply (Faropoint Research).

3 Granular, diversified tenancy

Dozens of small, service-oriented tenants per roll — trades, light manufacturing, distribution — spread credit and re-tenanting risk versus one large user.

4 Rents — and yields — mark to market faster

Shorter lease terms let owners reprice more often; the same dynamic shows in cap rates — urban logistics (20–100K SF) trades ~70 bps wide of big box (Faropoint Research).

5 Fragmented ownership, our entry point

79% of the 20–100K SF universe (\$1.1T sector, avg. asset value \$5M) is privately owned — a durable, largely un-institutionalized acquisition pipeline (Faropoint Research).

6 Demand from more than one source

Population growth, reshoring of light manufacturing and local service businesses all draw on the same infill space — insulating it from any single macro shock.

THE PATTERN, GEOGRAPHICALLY

Six drivers. One corridor.

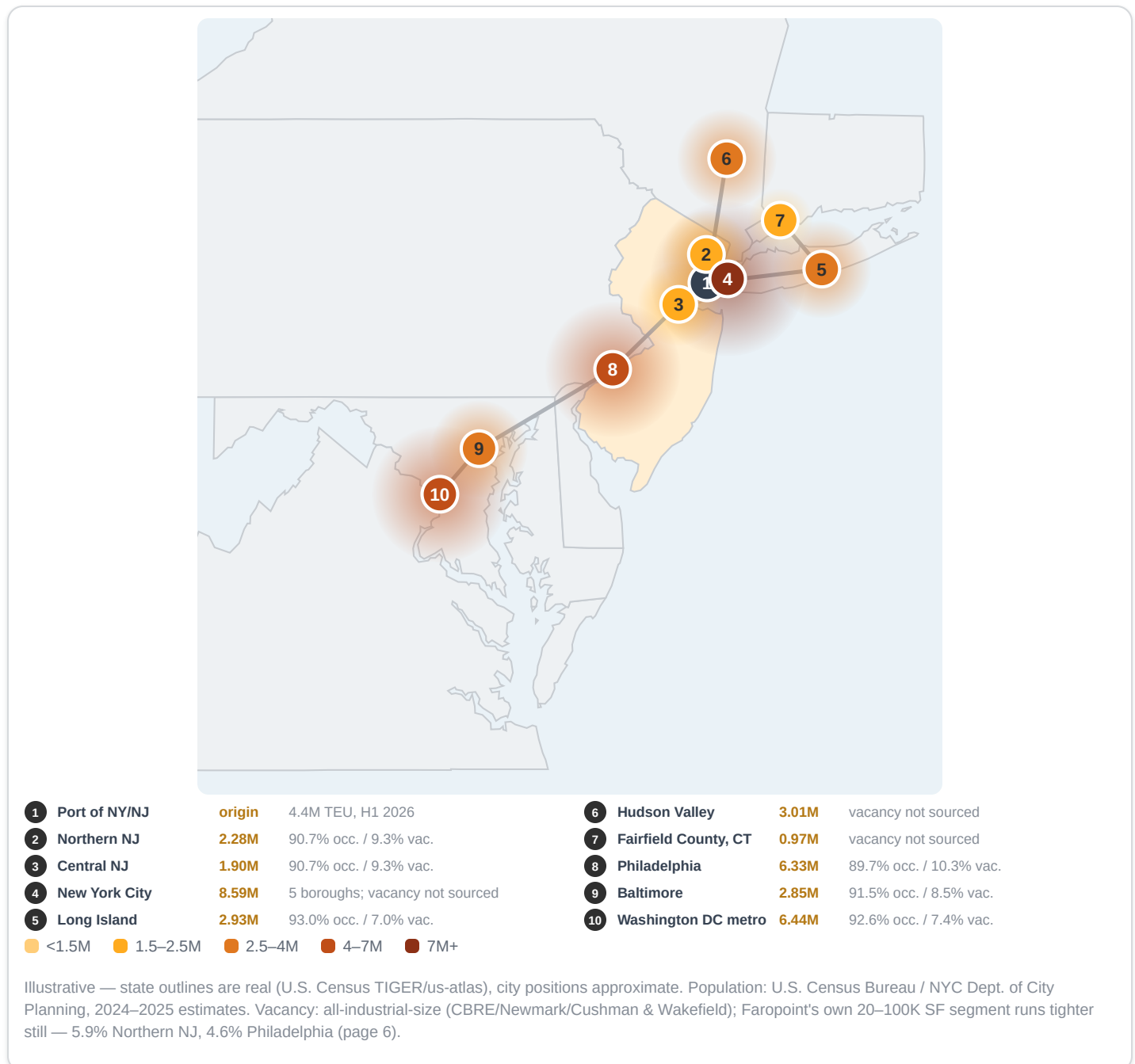
Every driver above is a national argument for the format — but it plays out locally, tied to where people actually live and where port volume actually lands. The next page maps that demand across the corridor, from Washington DC to the Hudson Valley.

Why shallow bay | Mapped across the corridor

The same six drivers show up geographically — population density is the demand behind the format, from Washington DC to the Hudson Valley.

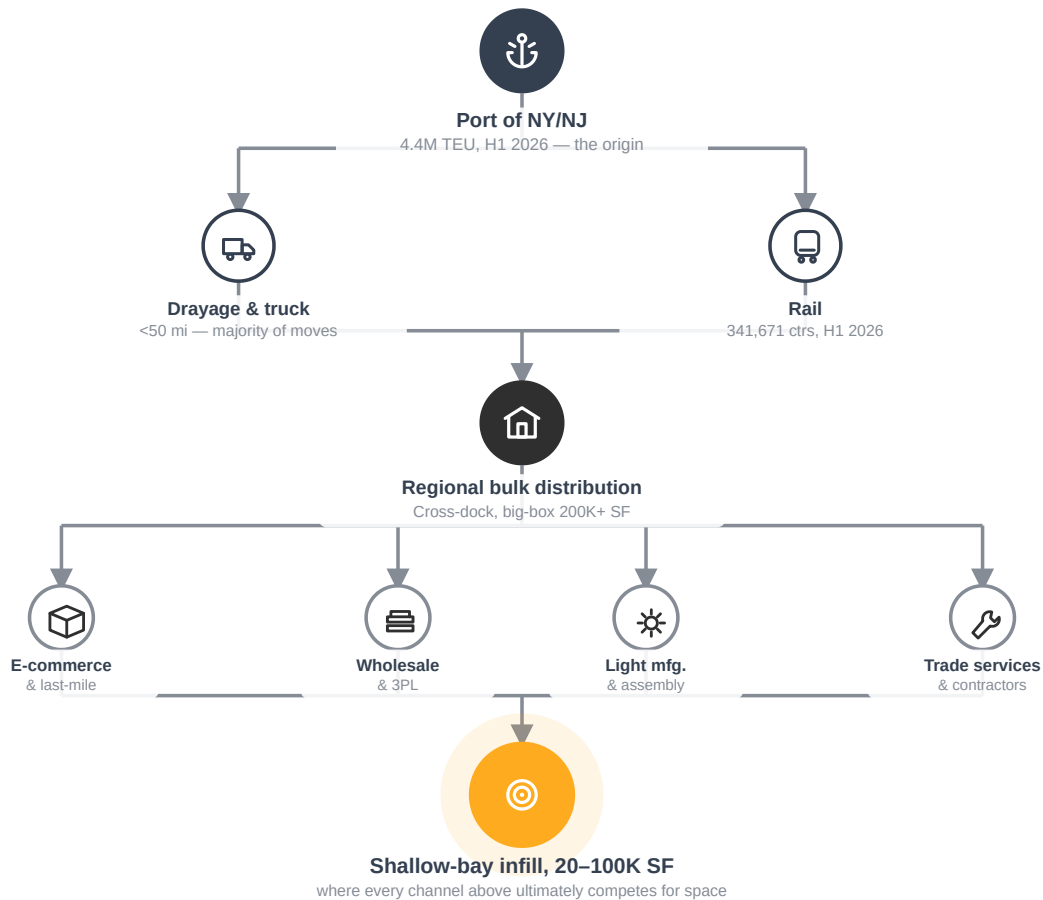
The corridor, mapped: population density and port flow

Real state geography, Long Island through Washington DC. Circle size and color both track total population — darker red reads as more people. Geography and tightness don't move together: Long Island and DC, at opposite ends of the map, run the tightest vacancy.



Distribution channels | How goods reach their end use, regionally

Port volume doesn't arrive at one destination — it splits by mode, moves through bulk distribution, then fans out to four distinct end-use channels that all compete for the same shallow-bay space.



Illustrative framework, not deal-level flow data — reflects typical last-mile distribution patterns for port-driven regional demand. Rail figure: Cushman & Wakefield, H1 2026 Port of New York & New Jersey Report.

The common denominator. A parcel fulfillment center, a 3PL cross-dock, a light assembly shop and an HVAC contractor's yard look nothing alike on paper — but all four need small, well-located, divisible space near the population they serve. That's the demand base underneath every shallow-bay acquisition.

UNDERWRITING THE FLOW

Four channels. One thesis.

Faropoint doesn't underwrite a single tenant type — it underwrites the infill format every channel above ultimately needs. The final page shows how that shows up in Faropoint's own house view and 2026 acquisition record.

Faropoint's thesis | Underwriting the corridor

Two Northeast/Mid-Atlantic markets, two different reasons for conviction — and a 2026 track record of acting on it.

The house view: Northern New Jersey

Faropoint's research team rates Northern New Jersey **Over-weight** among Gateway markets — near-term rent softness more than compensated by the widest Treasury spread in the set.

Northern New Jersey · Gateway market

\$1.57B
FarOS H1 2026 volume seen, 141 deals (-4.7% QoQ)

6.3% / 7.2%
In-place / untrended cap rate, 20–100K SF

+185 bps
Treasury spread — widest of Faropoint's three Gateway markets

5.9%
Vacancy, 20–100K SF (+23 bps QoQ)

-2.3%
LTM rent growth — the near-term softness being priced

+2.62%
Expected 2-yr rent growth (2026–27) — the recovery being underwritten

OVER-WEIGHT

"FarOS volume seen" reflects deal flow tracked by Faropoint's sourcing platform across the market, not Faropoint's own closings. Source: Faropoint Research, *Market Pulse H1 2026*, House View — Gateway Markets.

Gateway vs. Value: two markets, two theses

Faropoint House View — Northeast & Mid-Atlantic markets, H1 2026 (20–100K SF)

MARKET	FAROS DEALS	FAROS VOLUME	IN-PLACE CR	UNTRENDED CR	TSY SPREAD	VACANCY	LTM RENT GR.	EXP. 2-YR GR.	HOUSE VIEW
Northern New Jersey	141	\$1,573M	6.3%	7.2%	+185 bps	5.9%	-2.3%	+2.62%	Over-weight
Philadelphia	90	\$721M	6.2%	7.4%	+182 bps	4.6%	+7.8%	+2.88%	Under-weight

Northern New Jersey (Gateway) is Over-weight on pricing despite softer rents. Philadelphia (Value) is Under-weight despite the stronger rent print — its leasing spreads compressed sharply as outsized COVID-era gains normalize. Source: Faropoint Research, *Market Pulse H1 2026*.

Faropoint's New Jersey acquisition footprint, 2026 YTD

TOTAL DEPLOYED
\$65.5M

TRANSACTIONS
5

BUILDINGS ACQUIRED
5

AVG. DEAL SIZE
\$13.1M

AVG. BUILDING SIZE
~60,000 SF

No. 1 buyer in the market by deal count. Across 51 tracked NJ industrial, land and IOS deals in 2026 YTD, Faropoint led every buyer with 5 deals (9.8% of all deals; 19.2% of industrial-only). By dollar volume it ranks #11 (\$65.5M, 3.2%) — a high-frequency, smaller-check strategy, not one built around trophy deals like Goodman's \$360.0M Anheuser-Busch land buy.

NJ industrial only — Fund-level and other Mid-Atlantic totals unavailable this session.

The thread. The port drives regional industrial demand — shallow bay captures a disproportionate, structurally protected share of it — and Faropoint holds its highest Northeast conviction there, backed by a 2026 record as the market's No. 1 buyer by deal count.

Sources: Faropoint Research, *Market Pulse H1 2026* (internal); Cushman & Wakefield Northeast Industrial Advisory Group, NJ sales data 2026 YTD, analysis prepared by Faropoint Acquisitions.

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